

will eventually take a big bite out of all the millionaires in this country by taxing their estates.

Mr. Stern: The Grim Reaper is on our side.

Mr. Young: Not so fast, Bob. Just think of all the millionaires in this country. Most of them own some kind of a business, and a whole bunch own stocks. What do these folks do with their money? They sit on it, or they plow it back into their business. They hold on to all those stocks that keep appreciating.

Mr. Stern: But what about the Grim Reaper?

Mr. Young: Look at it this way, Bob. We have often looked at estate returns in the \$1-million-and-above level. Last year there were only about 25,000. But, Bob, at the same time there were 3.5 million millionaires alive and kicking. That means that 0.7 percent were picked up by the Reaper. This number should be twice as high. But you know what a lot of millionaires do? Before the Reaper shows up, they transform themselves. It's like magic.

Mr. Stern: How do they do it? They can't just vanish. Do they move offshore before the Reaper shows up?

Mr. Young: Offshore is not a significant factor. But I would not be surprised if we found that half of the millionaires transform themselves into nonmillionaires BR.

Mr. Stern: What do you mean by BR?

Mr. Young: It's an insider term. BR means "Before the Reaper," or prior to death, as opposed to AR, or "After the Reaper." Look at this case study. Here's a woman, Lucy L., who had \$7 million just a year before she died. She lived on her pension money. Never in her life sold a share of stock out of her portfolio. Her wealth doubled in just the six years between her seventieth and seventy-sixth birthdays. But what did we get out of it? In terms of income tax, nearly zip. She